Jiaozi were produced in 1024. Each issue of paper notes put into circulation was backed by the government, and could be exchanged for standard copper coins. The currency was popular especially among merchants and tradesmen as the paper notes were more convenient and much lighter to carry than strings of copper coins. By the twelfth century, paper notes were the main form of currency in China. Thanks to strict controls on the issuance of such currency, these paper notes maintained their value. Counterfeiting of paper currency was punishable by death.

When the Mongols took over China and established the Yuan dynasty, they issued their own paper currency, called Chao. Though it was initially backed by precious metal, the Khans soon resorted to excessive printing of the Chao, to finance military expeditions. As a result, no longer backed by gold or silver, the Chao depreciated in value by almost 1,000 per cent leading to runaway inflation and ultimately collapse of the dynasty in 1368.

The Ming dynasty that followed suspended the printing of paper money for much of their reign, using silver instead, which was brought to China by Spanish traders from Peru and Mexico. China did not revert to paper money for another 600 years until 1890, when the Qing dynasty began producing the Yuan.

During 1948–49, China once again experienced extreme inflation, peaking in April 1949 at 5,070 per cent. The Yuan was replaced first by a gold yuan and then a silver yuan but with little success. The currency was finally stabilized by the newly installed Communist government, who issued a new currency – the Renminbi (literally, the people's currency) in December 1948. For several years the Renminbi remained pegged to the US dollar, with tight monetary control, and, as a consequence, remained stable.

France During the French Revolution[23]